Why The S&P Just Hit A Record High — Despite Soaring Yields

Podcast: prof G markets

AI Executive Summary

1. Core Thesis The episode argues that the US stock market is currently trading at historically low valuations supported by record earnings growth driven by AI and Big Tech capital expenditure, creating a divergence from traditional high interest rate risk; however, this growth faces sustainability concerns regarding circular financing and lack of independent third-party demand. Simultaneously, the economy's largest swing factor—housing—is experiencing a "deep freeze" caused by sticky long-term mortgage rates and supply shortages due to zoning regulations rather than a price crash. The discussion concludes with a critical observation on the "inheritocracy," where billionaire heirs (like David Ellison) are consolidating control over American media assets, signaling a shift in power dynamics from earned success to inherited wealth.

2. Key Arguments & Data

3. **Market Valuation vs. Growth:** The S&P 500 reached a record close and is trading at approximately 19 times forward earnings (below its five-year average). Forward earnings growth for the S&P is at nearly 38%, comparable to only post-recession eras (2009, COVID), which supports market resilience despite rising interest rates.
4. **Bond Yields & Inflation:** The 10-year Treasury yield closed above 5.3% (highest level since 2002). Brent Crude oil climbed back to approximately $100 per barrel, with global stockpiles reported as running low. Traders predict a >70% chance of a rate hike before year-end.
5. **Housing Market Freeze:** The average 30-year fixed mortgage rate hit 7.28% (highest since November 2023), resulting in fewer home sales and higher rent growth. Transaction volume has stagnated at roughly 4 million sales annually, similar to levels post-2008 bubble burst, but prices remain high due to a policy-driven market freeze where homeowners with low historical rates refuse to sell despite financing costs rising.

6. **AI & Capital Cycle:** The tech rally is broad-based (Small caps up double digits, 27% earnings growth) but driven by hyperscalers' CapEx cycle (~$900 billion). John Mowry warns of "circular financing" where Big Tech companies recycle internal revenue to fund spend without independent validation.
7. **Housing Policy:** The US housing system is subsidized by Fannie Mae and Freddie Mac (semi-explicit guarantee) allowing long-term fixed mortgages that do not adjust to market rates in the same way bond prices do, creating a uniquely American asset class liquidity trap. New zoning laws were passed but require local political buy-in to significantly increase supply.

8. **Media Inheritocracy:** The $111 billion merger of Paramount and Warner Bros Discovery is financed by Oracle founder Larry Ellison (David Ellison) providing ~$47B, Gulf State funds (~$24B), and debt. David Ellison now controls nearly all remaining American legacy media assets (Warner Bros, CBS, CNN, HBO, DC/Star Trek/Harry Potter franchises), following a trend where over 30% of billionaires today inherited their wealth rather than creating it.

9. Actionable Takeaways

10. **Investors:** Monitor oil prices and CPI data as potential catalysts for yield relief; if rates come down or earnings sustainability is validated by third-party demand, the S&P could rally further beyond current 19x forward valuations.
11. **Homebuyers:** Recognize that a price crash is unlikely due to policy-backed debt structures. If you are in the market within 1-3 years, do not count on housing as an investment savings vehicle; consider renting if buying requires a high cost of living relative to your service needs.
12. **Risk Management:** Be cautious regarding earnings driven by internal revenue recycling (Big Tech) versus independent demand validation. The market is "mid-priced" but not fully priced on the risks associated with AI CapEx returns and debt financing.
13. **Policy & Social Watch:** Pay attention to local zoning legislation regarding housing supply, as this remains the primary lever to lower

prices. Acknowledge the trend of wealth inheritance in media and business leadership to understand evolving political and cultural power dynamics.

Full Transcript

Support for the show comes from VCX, the public ticker for private tech. The US stock market started history's greatest wave of wealth creation, from factory workers in Detroit to farmers in Omaha. Anyone can own a piece of the great American companies. But today, our most innovative companies are staying private longer, which means everyday Americans are missing out, until now. Introducing VCX, the public ticker for private tech, now available wherever you buy stocks. Visit GetVCX.com for more info. That's GetVCX.com. Carefully consider the investment material before investing, including objectives, risks, charges, and expenses. This and other information will be found in the fund's prospectus at GetVCX.com. This is a paid sponsorship. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where OTU comes in.

And all in one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all in one powerful platform. No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odu.com slash vox. That's oduo.com slash vox. Support for the show comes from First Citizens Innovation Banking, formerly Silicon Valley Bank. First Citizens is the bank of the innovation economy. The name may have changed, but for over 40 years the commitment to bold ideas, relentless ambition, and delivering what's next is as strong as ever. So, if you're wondering where the road to innovation starts, it's here. First Citizens Innovation Banking. Head to firstcitizens.com slash innovation to learn more.

Welcome to ProfG Markets. I'm Ed Elson. It is October 7th. Let's check in on yesterday's market vitals. The major indices climbed as stock investors grew bullish ahead of earning season. The yield on tenure treasuries declined slightly but remained near multi-decade highs. Brent Crude climbed back about 100 per barrel as industry executives warned that global

stockpiles are running low. Meanwhile, constellation energy popped more than 12% after Google agreed to a 20-year nuclear power purchasing deal. Okay, what else is happening? Big Tech just pushed the S&P 500 to its first record close since August. The S&P rose nearly 1% yesterday, and it's now up more than 14% so far this year. While the stock market is ripping, though, bond yields are still near record highs. On Monday, the 10-year Treasury yield closed above 5.3%. It's highest level since 2002. According to Calci, traders are now betting that the chances of a rate hike before the end of the year are above 70%. In other words, the bond market and the stock market are now telling somewhat opposite stories, which leaves us all wondering who is right. Here to discuss the markets, we're speaking with John Mowry, Chief Investment Officer at NFJ Investment Group. John, good to see you. The S&P hit a record high.

which I think was surprising to some, considering the fact that we saw yields rising as much as they did. And usually when yields rise, that means stocks come down. That's not what happened, though. Stocks kept rising. We're now at 14% year today. What do you make of what's happening here? Yeah, and it really is remarkable. If you had told me at the start of the year that mid-10-year bond yield was going to go to 5.25 or 3%, oil would be at 100 or higher for multiple consecutive days. I think that's kind of textbook you have expected the market to be lower. I think the reason that we have seen such resiliency is that we've got forward earnings at nearly 38% for the S&P. And to contextualize that, the only time you've seen earnings growth at 30% or higher.

is coming out of recession. So coming out of COVID, coming out of the 2009, the GFC in 2008. That was the only other time you saw that. So the earnings have been incredibly resilient. And what's fascinating is actually the market has gotten cheaper even though it's hitting all-time highs, as we say here today. That's the part. I mean, it is hard in a lot of ways to call the market overvalued right now when you've got the S&P trading at about 19 times forward earnings below its five-year average. I guess the question, we should try to understand what the risks actually are here. Some are questioning the earnings themselves. The earnings are exploding, and that's why you've got, based on those forward earnings, a cheaper market, but some people are wondering, you know, to what extent can we trust these

earnings? Do we think that these earnings are sustainable, durable? What do you make of that? Because you're right, the earnings growth is tremendous, and it seems to be the thing that's powering this market. Yeah, I'd say a couple things. I mean, look, you're getting a lower multiple. So that's textbook for when you have higher interest rates. So the market is responding appropriately. Interest rates are up.

And so that's pushing the multiple down. But you have substantial earnings growth, and that's why the market is at all time high. So if we think about, are those earnings durable? You know, there's a lot of people that look at the AI trade and they think, hey, is this a bubble? And I might take the other side of the equation. I might take this side that maybe we're mistaking a bubble for a boom because when I look at the durability of earnings, It's a cross-sector. This is not one group. I think there's a misconception in the market that this is a narrow trade. And I keep hearing people say that only a handful of stocks are holding the market up. I would take the opposite side of that. Small caps are doing well this year. They're up double digits. Mid caps are up double digits. And you've seen tremendous performance out of refiners, industrial machinery, material stocks. There's a whole cohort. I think that The counter to that is well, is that being driven by kind of the CapEx cycle, which is roughly 900 billion coming from the hyperscalers? And my answer is largely yes, you're seeing a lot of that come from that. But the counter is would you rather there not be strong earnings coming out of kind of an investment capital cycle? I would rather have the setup we're in, which is where we have low valuations, strong earnings growth, And actually, a backdrop that might get a lot more favorable should we see some alleviation in oil prices or bond yields as we look into the next 6-12 months. The reason that this breadth question is coming up, this idea that the market is so narrow or that it's so concentrated right now, you're right when we look at the full year that generally speaking it's been pretty good. But over the past couple of months just looking at Individual stocks in the S&P, the equal weight is down since August. More than half of S&P companies right now are in a bear market. I mean, at least over the past few months, basically since the end of the summer, it has been all tech driving the gains. I guess what would you say to that pushback? It's a great point. I mean, small caps are pulled back. There's no question. So why is that? That I would argue is directly tied to what's going on.

with bond yields and with oil prices. Because if you think about oil prices, that's a progressive tax, that's going to impact the smaller medium-sized companies more. And then the smaller medium-sized companies have less levers to pull when interest rates go up. So, you know, Apple, Nvidia, Microsoft, interest rates going up doesn't impact them as much as the smaller companies for two key reasons. The first is that the cost of capital directly impacts their ability to go to the capital markets. And secondly, the smaller companies typically have more debt. on their balance sheets. So you have more concern about what it's going to be to roll that debt if those interest expenses stay up. So that's the reason you've seen that. I think the small caps are kind of spring loaded here, though, because you are still seeing earnings growth there at 27%. So really strong earnings growth after years of kind of flat to no earnings growth in smaller companies over the last few years. Are you concerned at all?

about the fact that we just at least over the past couple of months, it has been a story of tech. Do you worry that it seemed as though we had kind of a broad market that was pretty diversified, the equal weight was really strong. A lot of these small cap companies were doing really well. But now it seems like maybe we're reverting back to this sort of top heavy dynamic where you have a handful of companies. Is that a concern for you or do you think that it's not a real issue right now? You know we kind of had a little bit of you know a pretty harsh sell off after june in a lot of the semiconductor and i names it wasn't just technology was also kind of industrial machinery that was tied to data center build out or connectivity stocks.

as part of that kind of data center wiring that's needed for the capital cycle. So it's been a group. I think that ironically, we kind of had an alleviation in that semiconductor trade. And now you've got some of the lowest multiples we've seen. I mean, if you look at the multiple, you're paying for Nvidia. And I think it's very reasonable. The market obviously is doubting the earnings, but I think that the re-rating and some of the tech stocks are warranted, given that you had a lot of compression kind of coming out of the end. of a lot of the reconstitution actually that happened at the end of June, some of the Russell indexes, you had a lot of pressure as those were reconstituting with some of the semi-names coming down. For example, a

lot of the memory stocks were very large weights in some of the large indexes, like the 1,000 value and those completely got moved out. So I think you had some just kind of, I would say technical selling pressure. And so now you're kind of seeing some of those re-rate and I mean, Micron just reported stellar earnings.

So again, the results keep coming through and there's a lot of doubters out there. And again, I kind of go back to the case that maybe as opposed to doubting the build, it would be a little bit wiser to kind of look at how it's impacting kind of a broad swath of companies and participate because it's really good for the country if we're kind of at the lead and the forefront on the AI buildout, not just for national security, but for productivity gains. The concern that I think is valid, at least in my view, is this circular financing concern that we have these earnings that are moving in a circle. That's largely why the earnings have been so dramatically large is because we have all of these big tech companies, these hyperscalers kind of trading revenues and recycling the revenues through the system. That at least is my concern. One, are you also concerned about that? But two, the follow-up is, is that priced in? And I wonder if maybe at these multiples, when you look at the multiples on forward earnings especially, that maybe that is priced in, and maybe this is a healthy market that is acknowledging the risks. Well, and I couldn't agree more. The circular financing is something we've got to pay very close attention to, and I'd actually extend that further too. We really need to see how much of this is going to be financed with debt versus cash from operation. So I kind of Put both of those as kind of the worry poles on the first one on the circular financing i mean let's take amazon for example they had a great previous quarter but it was criticized because of the gains they had with anthropic which is a large investment they have which also buys their chips so that's kind of a circular argument.

So I think that we need to see validation from third party independent sources. But I think that the circular financing to some degree is part of the. ecosystem. When the largest companies in the world are driving the capex cycle, it's inevitable that you're going to have some of those customers buying products from these companies. And we have to remember, these companies are like their own countries. So, I mean, these are massive enterprises. I mean, Nvidia now hitting 6 trillion. So I think that the circular

financing is to some degree expected, but it is a concern. We do need to see independent demand ed. So I completely agree. Something to watch closely. Something that I am watching closely is how some of these operations, particularly with these investments, are being financed. To the extent that they're being financed through debt and not from cash flow from operations, that is a concern. And we need to see demand materialized to justify the amount of spend that's coming. I think the return on the AI trade, that's the real question. Everyone's spending. What's the return going to be? The flip side is you have to invest to stay competitive.

So it's why markets do create bubbles because it's not that people are stupid, it's not that people don't understand that you can spend too much in overbilled data centers, of course they get that. But the risk of not doing it is that you fall behind in a very competitive space that is moving at the speed of light across the globe. The return on the AI is so essential because as you say, the system is dependent on that CAPEX right now. That is what is driving the earnings growth. And the only reason they're willing to do that is because they think that they're going to get the return. We haven't seen it yet, at least among those extremely large spenders within their own businesses. So I guess if that doesn't show up or if it underwhelms in any way, you might see a massive reduction.

in that spending and therefore you'd see a reduction in the earnings growth, which I think goes to the sustainability question. I guess just sort of as we wrap here, do you believe that that is sort of reflected in these prices? Like, do you think that that concern is properly priced and therefore, you know, this is something to be not so worried about? As my kids would say, it's mid-priced. It's mid-priced. I don't think it's fully priced. I mean, the market tries to discount, but it doesn't fully know what that return is going to be still. So I don't think we know on that one. I think that if you look at the price and the demand for compute, everything there points to that it's going higher.

And that actually contracts may reprice higher for compute ed. So we actually are still in a pretty constrained market. To me, I think the real interesting dynamic, if I look at the S&P 500, just as kind of the broad market, it's trading at 19 times. It's growing at 38%. You've got bond yields

over 5, 5.25 today, oil at 100. If you see oil prices move lower, interest rates should come off quickly and the market should rip. So I think that it's actually to the upside risk to the upside that the markets move substantially higher and that people are off sides because they're trying to kind of deconstruct and decompose is the AI trade real and maybe miss the upside move. I mean, markets would be substantially higher if the conflict in Iran had been resolved. And that's dragged on longer than folks in Washington would have liked.

And that's really keeping kind of a coiled spring underwater for the market. Is it your expectation that yields will come back down soon? Let's break this down. The CPI, you know, to your body, you'll force the feds hand. CPI. Should roll over over the next 12 months if nothing else just because of the calculation So even if oil prices stay elevated at the way that calculation works when this is kind of the cruel Economics of how inflation works. It's not the things necessarily need to get cheaper It's that the rate of change needs to slow and that's unfortunately the way this is done and so That right there if I look a year out, I would expect the CPI to be lower And so the Fed should have a easier time with interest rates potentially out of year. So my expectation is, yes, oil prices come down, CPI gets a little bit weaker. And if earnings growth stays, we'll see what the next couple quarters produce, that's going to be real bullish for markets. John Murray is Chief Investment Officer at NFJ Investment Group. John, we appreciate your time. Thank you. Thanks, Ed. After the break.

a check-in on the housing market. And by the way, my newsletter Simply Put was just nominated for a signal award, so please go vote for it at votes.signalaward.com. It would really mean a lot to me. Just type in Simply Put in the search bar. You'll find it. We'll also leave a link in the description to make it easier. Support for the show comes from NetSuite. Successful business owners know how crucial it is to keep up with changing technology, so... When it comes to adapting AI for your business, it couldn't be easier with NetSuite Next. You probably know NetSuite, the AI power business management suite that securely connects all your data. It unites your financials, inventory, commerce, HR, and CRM into a single source of truth, and it's trusted by over 43,000 customers. NetSuite Next is the next big leap in how business gets done because AI is built into

everything you do. It automatically surfaces custom insights throughout your day. AI agents work alongside you to solve problems and handle routine work. And any time you have a question about anything, just ask like you're talking to a colleague. Whether your company earns millions or even hundreds of millions, it's time for NetSuite Next, where your business meets AI. For the first time ever, you can try NetSuite Next for free. If your revenues are at least in the seven figures, go to netsuite.ai.

Every industry ready for every boardroom. Netsuite.ai slash PropG. Support for the show comes from Vanta. When you run security for a company that's scaling fast, the stakes just keep climbing. More compliance frameworks, more vendors, more risk, and a board that wants to see it all in one place. But in actuality, your compliance data is all over the place. Controls in one tool, vendor risk in another, and customer commitments buried in contracts. Your team has to spend more time stitching it together and less time running the program. Every quarter, you're basing decisions on last quarter's data. That's why Vantor connects it all. Its market-leading, agentic trust platform is built for enterprise scale. With more than 400 integrations and continuous monitoring, Vantor automates evidence collection, surfaces the risks that matter, and organizes your audit around your auditor's requirements. The numbers back it up.

Vantor delivers a 526% ROI over three years and pays for itself in three months. And it's trusted by more than 16,000 companies, including Snowflake, Atlassian, and Ramp. Learn more at vantor.com slash markets at spelled V-A-N-T-A dot com slash markets. Support for the show comes from Alpha Space by Yahoo Finance. Instead of bouncing between countless tools and tabs to manage your portfolio, AlphaSpace by Yahoo Finance brings your entire investment workflow into one easy-to-use platform. AlphaSpace by Yahoo Finance utilizes a Yahoo Scout-powered assistant to build a personalized view around exactly what you want to analyze, then syncs it with your portfolio for real-time tracking. You can compare multiple tickers, explore everything from candlestick and line charts to fundamental data, and layer in indicators like moving averages, Bollinger Bands, RSI, MACD, and more.

My cohost Scott Galloway is a fan of the platform. What did you think of it, Scott? I have been using Yahoo Finance as my home page for finance or for the web actually for 30 years. And as someone who has advised hedge funds, run my own money, prides themselves on being good at investing, and it takes up a big part of my life, I think they do a fantastic job. You can explore AlphaSpace with 50% off your first year of Yahoo Finance Gold at yahoofinance.com slash profg. That's yahoofinance.com slash profg. Build us 239.70 for the first year, then 479.40 thereafter. Offer valid for new subscribers in the US, offer ends October 31st, 2026. We're back with ProfG Markets.

The average 30-year fixed mortgage rate just hit 7.28%, the highest reading since November 2023. The result? Fewer people are buying homes and more are renting. Pending home sales fell 8.5% from a year ago, according to Zillow. Americans' expectations of moving on near all-time lows and the median age of first-time home buyers recently hit 40. Meanwhile, rents posted their biggest annual jump since April 2025. So today, we're asking what happens to the economy when a generation stops buying homes. Joining us to discuss the housing market, we're speaking with Robert Armstrong, US financial commentator for the Financial Times and author of the unhedged newsletter. Rob, thank you for joining us. You just wrote about housing recently in the Financial Times. You wrote about the mortgage on your house. Tell us.

about that situation and what it tells us about the larger housing market in America. The entire motto of my life is that it's better to be lucky than good. And I was lucky in that I was at the stage of life where I needed to buy a new bigger house in 2020. When mortgages were like two three percent if you you know played your cards, right? And I ended up you know with a good size two and three quarters mortgage on this house and Now that looks brilliant. You know now that we're at seven and a half percent I have like all this cheap financing way below market financing So I'm in the slightly weird position that one of or perhaps the biggest asset I have that I have is a liability Meaning some really cheap debt and that actually has implications for the larger economy because there are millions and millions of Americans like me who got mortgages in the the zero rates era the kind of 2010s through 2020 and who now essentially Boring something really

great or really awful happening to them are never gonna leave their home, right? Because if I get a great job offer in Cincinnati or London or Tokyo, I've got to give up this mortgage. And if I decide to downsize when my kids leave for college next year, same thing, I'm not gonna.

Right, so I'm gonna stay in the house no matter what and the effect of these and it is by the way a somewhat uniquely American phenomenon these very long-term 30 year Fixed rate mortgages Subsidized basically by the government which we can discuss in a second very American phenomenon the impact of this is that the Market freezes when rates rise so people like me Mortgage rates go up, people like me to stay put, and essentially the supply of homes, or in any case the liquidity of available homes, goes down. That's one phenomenon. The second phenomenon is nobody wants to sell their house for a loss. So people will always wait a million years rather than sell at a loss in a normal market, Ed.

The price of financing this asset would have gone up and the price of the asset would have gone down But because people have trouble accepting the fact that they're selling their house at a loss again the market freezes and So that's fine for me. I'm in this great house in Brooklyn. Everyone's happy for you age 27 at maybe you live in a fabulous home that you own But if you should be a renter, yeah, not yet If you should be a renter you're on the outside looking in right? Yeah and there's less houses for you to buy, and the price of those houses hasn't fallen even as the price of financing them has risen, which is kind of crazy. So what happens as a result of that? Prices don't fall, transactions do, right? So we're running along at about four million home sales a year now, which is the same level as right after the housing bubble burst 15 or 20 years ago. So It's not a market crash. It's a market deep freeze. And that's extremely bad for young people, even as it takes care of old people like me. You wrote that the, quote, the prevalence of the 30-year fixed-rate mortgage is a policy choice. In other words, we have decided to set this system up this way where you have rising rates that don't even affect the price.

of the house. You would think that as you say, if the rates go up, the prices go down, we have a situation where rates go up, prices either continue to rise or remain extremely high, no one sells, and therefore no one new buys

a house. There's no law that says, thou shalt have 30-year mortgages forever and ever. But we do have this unique home finance system where mortgages like mine can be bundled into bonds. And those bonds have a semi-explicit guarantee from the US government in the form of their approval by Fannie and Freddie, who buy the bonds, bundle them up, and sell the bonds. So there's a kind of semi-explicit subsidy and guarantee that makes this product the 30-year fixed mortgage.

possible in America, where it's a lot harder and a lot of other markets. Now, you might say, this is great. You know, this protects a lot of people like old Armstrong, right? But it's pretty tough on the people, as I said, who are on the outside looking in. But this is the policy that we've chosen. This is the housing market we've chosen. You also quoted the economist, Edward Lima, who said that, quote, housing is the business cycle. But you said that is no longer true. What is the relevance of housing either being the business cycle or not being the business cycle? So it used to be we had kind of normal business cycles in the economy where sometimes you were in an expansion and sometimes in a contraction and these things went in slow waves of six or seven years or whatever it was. And Lima's point is that If you look down in the data, one of the biggest swing factors is the housing sector. The housing sector is not that huge a chunk of the economy, but it moves around a lot. So it's the thing that shrinks the most and goes up the most because people buy homes when they're feeling rich and financing gets cheaper and then there's a lot of buying and then the cycle naturally turns as houses gets more expensive and nobody's buying. So it's this massive swing cycle.

And remember it's not just the housing transactions themselves. It's the paint you buy. It's the renovation. It's the money you spend moving. It's all of that all that related stuff Now Housing has been because the market has been frozen Since rates first really started to go up a couple of years ago this part of the economy has not been contributing to GDP and normally that would mean we were in the lower part of the economic cycle, right? Because housing is either detracting from or not contributing much to GDP. But we have something else said, so we don't need housing anymore. We have AI, which has sort of taken the place of housing in this cycle, in that,

you know, it is giving that important incremental swing to keep the economy growing. It's not the only thing, but it's a big reason.

If we didn't have the AI boom going on, we would notice the absence of the housing sector as a contributor to the economy. Let me put it that way. And in a way, unless you're shopping for a house now, you wouldn't have noticed it. How does this all play out? Because I mean, I've looked at housing prices for a while. They continue to go up, or at least they stay high. I keep thinking at some point something has to change. And you point out that we are looking at price levels here that looks very similar to basically the top of the housing bubble in 2006, 2007. But it almost feels like we've been stuck in this moment for years now. And it never seems to arrive that turning point. So I guess my question is, what would it take for things to change? And do you think things will change at any point in the near future?

Part of the puzzle here that we haven't talked about is housing supply. And part of the reason the issues I've just discussed are so severe in this country is that it's not particularly easy to build housing here for reasons that involve zoning regulation, the price of land, all kinds of stuff. And it feels like we're at a moment where some of the ice is thawing in that area. This law was passed this summer with bipartisan support that is without the president's signature, of course. I forget what he was mad about that he didn't sign it, but he was mad about something else so he wouldn't sign it. That makes it possible. I mean, the key things it did were basically, localities have an incentive to roll back.

zoning regulations. The problem with changing our zoning problem in this country is that it's all at the local level. So the NIMBYs are solidly in charge of local zoning. And this law did something to change that. And you hear, I think people are becoming more aware of how big a problem this is. So slowly, slowly, we have to get better at being a society that builds housing and builds the right kind of housing that young families need, basically. As that's happening, it's very, very hard to get home prices to go down. And they can be kind of stable and inflation can bring them down in real terms, but it's hard to see anything more than that happen. In aggregate,

even in the housing bust, housing prices didn't fall that much. They just stole, they went down whatever percent.

15% nationally or maybe 10% and then just stalled for a while Right and became cheaper in real terms as there was a little bit of inflation. So it's hard to see any quick fixes here But we hope the country gets religion on zoning and building is now not the right time to buy a house Do you think of course it's always situational? It's always based on locality, but if we were to If someone were thinking about buying within the next, I don't know, one, two, three years, wait? I mean, there's a difference. You know, is it time to buy as an investment? Is it time to buy a place to live? And the advice I followed in my life, which I got from other people, was that, you know, you should buy a house if it's a reasonable price for buying the service you're getting, which is a place to live. What I don't think you should count on, which And parts of my life it has worked, it definitely worked for my parents, is betting it's also going to be a savings and investment vehicle. Yes. I think you have to buy the house because it's a house. And then it's just a matter of, what do you got in your pocket and what are you getting for the money?

You know, depending on where you live. Which honestly is a decent argument for renting. Because that's what renting is. It can be. And so I think renting, and there's a lot of countries, right? Where renting is just the norm. Again, it's a uniquely American thing that we necessarily think of our homes as the thing with which we save for retirement. This is probably not a very good idea. 100%. But it's how we do it. I could go on for hours with you about this, but we have to wrap it up. Robert Armstrong is US financial commentator for The Financial Times, author of the unhedged newsletter. Rob, really appreciate it. Thank you. Always fun to be on the show. Paramount has officially closed its 111 billion takeover of Warner Bros. Discovery.

The merger will hand over some of the world's largest media assets to one of the wealthiest people in the world, or more specifically, the son of one of the wealthiest people in the world. David Ellison will run the company. David's father is, of course, Larry Ellison, the founder of Oracle, and also the eighth richest man on the planet worth an estimated 193 billion. So

Larry provided the lion's share of the financing, roughly 47 billion. The Gulf States provided another 24 billion that includes the sovereign wealth funds of Saudi Arabia and Qatar and the United Arab Emirates. And the remaining 50 billion was financed with debt. And as a result, the combined company now faces a junk credit rating as its leverage ratio approaches nearly eight times earnings for context. That is roughly 300% higher than most investment-grade corporations. So what is in it for David Ellison? Everything. The heir to the Oracle Fortune now controls practically all of American legacy media. He owns the Paramount Production Studio, the Warner Brothers Production Studio, CBS News, CNN, HBO.

HBO Max, TNT, TVS, MTV, Comedy Central Nickelodeon, the Food Network, Paramount Plus, Pluto TV, the Star Trek franchise, the Mission Impossible franchise, the entire DC Comics universe, and also the entire Wizarding Universe of Harry Potter. Put it this way, any storied media entity that you grew up with and that still exists, he probably owns now. Now, the ultimate question is, why? Does he want all of this? And why would he risk so much of other people's money to get it? There are a lot of theories that are floating around. Some believe he has a political agenda. Others believe he has a geopolitical agenda and something that this is just a case of billionaire mind control. That this is his attempt to brainwash the American public into believing whatever it is that he believes. And I get it. It's not out of the realm of possibility that those things might be true. But my take is a lot more simple than that. My take is that this is a rich kid who is bored, whose dad is a scion and who wants to make a name for himself. And so this is how he's decided he is going to do it. And by the way, it wasn't that hard. Now, I also want to be clear. I don't think that that is a good thing. I don't think it's good that the children of billionaires have gone from buying boats or houses as their pastime to now buying the entirety of American media. To me, that is a signal that wealth inequality has gone at least a step too far. But indeed, that is where we are today. David Ellison controls the media because his dad is Larry Ellison.

And by the way, this is a story we are seeing more and more of. The next largest media company in the world is Comcast, which is run by the son of the founder Ralph Roberts. After that, you have Fox Corporation, which is run by the son of Rupert Murdoch and The New York Times, run by the son

of Salzburger Jr. And don't forget who David Ellison bought Paramount from. He bought it from the daughter of the billionaire, Sumno Redstone. So the reality is that the world is increasingly being run not by billionaires per se, but by the children of billionaires. And that's not to say that they're bad people. I'm sure many of them are great. It's simply to acknowledge that the reason they are in these positions of power is because of who their parents are. In fact, more than a third of billionaires today become billionaires, not because they started companies, but because of their inheritance, because essentially their parents died.

So we're starting to see the crystallization of what we call the inheritocracy. We see it in this one hundred and eleven billion dollar transaction. We see it in the rest of media. We see it in government. We see it in business. Power in America is increasingly being inherited, not earned. And the question for us is whether we are OK with that. OK, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Kristen O'Donoghue and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow. I'm Ed Elson. I will see you tomorrow. Running a business shouldn't feel like surviving a software group project.

One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where Odo comes in. An all-in-one business management software that brings every part of your business together. From sales and accounting, to inventory and marketing, all in one powerful platform. No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odu.com slash vox. That's odlo.com slash vox.